of high-profile people made the same mistake that I did—perhaps some market anomaly is at fault?"), Jim may condemn himself ("Why did I do that? I shouldn't have invested in Medium-Size. Only small-time players invested in Medium-Size, Inc. I feel stupid!"), adding to his feelings of regret. It's important to recall here that Large Company and Medium-Size Company stocks were, objectively, equally risky. This underscores the fact that aversion to regret is different from aversion to risk. We review in the following six investor mistakes that can stem from regret aversion bias. Remedies for these biases will be reviewed in the Advice section.

RESEARCH REVIEW

Hersh Shefrin and Meir Statman,[1] in their paper entitled "Explaining Investor Preference for Cash Dividends," highlighted *regret* as a reason that investors prefer stocks that pay dividends. They argued that this is true because by paying dividends, investors can avoid, in some measure, the frustration that is felt when taking an action that leads to a less than desirable outcome. As previously noted, regret is stronger for errors of commission (cases where people suffer because of an action they took) than for errors of omission (cases where people suffer because of an action they failed to take). Suppose that an investor buys stock in Company A, which does not pay a dividend. In order to extract cash flow from this investment consumption, an investor would have to sell some stock. If the stock subsequently goes up in value, the investor feels substantial regret because the error is one of commission; he can readily imagine how not selling the stock would have left him better off. Conversely, suppose the investor invests in Company D, which does pay a dividend. With Company D, the investor would be able to extract cash flow from dividends, and, thus, a rise in the stock price would not have caused so much regret. This time, the error would have been one of omission: to be better off, the investor would have had to reinvest the dividend.

REGRET AVERSION BIAS: BEHAVIORS THAT CAN CAUSE INVESTMENT MISTAKES

1. Regret aversion can cause investors to be too conservative in their investment choices. Having suffered losses in the past (i.e., having felt pain of a poor decision regarding a risky investment), many people shy away from making new bold investment decisions and accept only low-risk positions. This behavior can lead to long-term underperformance, and can jeopardize investment goals.